# *Practice Letter: China recalibrates*

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## 【メール原文】

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Practice Letter

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Beijing prioritizes productive relations with developed world

This is the latest in a series of periodic letters to clients in which Eurasia Group’s practices present their views on forthcoming political and macro developments for their regions or sectors.

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Dear Clients,

Eurasia Group’s third client trip to China provided notable access to senior officials in Beijing and Shenzhen handling national security and economic policies, as well as to influential scholars and representatives of the international community. Additionally, the group conducted site visits to leading firms in tech (including AI) and autos.

Our key takeaways follow below. We are planning further trips in 2027. If you are interested in joining, please reach out.

Tone change on US-China relations

During our 2025 client trip, shortly before the Busan trade truce, officials argued that Beijing had less need to cultivate ties to the West because of China’s economic diversification. A different tone featured in 2026, as officials across ministries and the Chinese Communist Party stressed the importance of productive ties with the US, Canada, and the EU. They conveyed a clear caution about "burning bridges" in a world made more unstable by Middle East conflict and the advance of AI.

Our interlocutors were notably upbeat about the four meetings between presidents Donald Trump and Xi Jinping planned for 2026, framing the regularity of contact as a way to lock in "constructive strategic stability." One leading Chinese scholar argued that the US and China have moved past "peak strategic competition" and can now enjoy predictability derived from their roughly equal global standing.

In a follow-up meeting after the trip, a well-placed official offered a more nuanced read, flagging underlying fragility and citing steep downside risks from a potentially volatile Trump following the midterms, possible US overreach on economic restrictions, and deep uncertainty about AI's impact on national security. The official made clear that Beijing's approach is to bank goodwill where possible, build supportive backchannels, engage the US on AI safety, and avoid militarizing emerging

technologies. At the same time, Beijing will quietly prepare for a more challenging environment in 2028, when both Taiwan and the US hold elections.

Three key risks

Officials cited three risks that could undermine the US-China relationship. The first, and most surprising, was Covid-19 liability litigation brought by the state of Missouri (see: Missouri court decision highlights spoiler role Covid-19 accountability could play in bilateral relationship , 14 March 2025), which was raised unprompted in separate meetings. Missouri's moves toward enforcing its $24.5 billion default judgment, including publicly floated plans to seize Chinese-owned farmland and other assets, have clearly heightened sensitivities. Chinese defendants have now hired US counsel to challenge the ruling. The case may play out without disrupting the broader relationship, but its prominence in our discussions is an important reminder to clients that issues that sit below the radar can become flashpoints with little warning.

Second, we heard concerns across ministries and the party that Trump would proceed shortly with a record $14 billion weapons sale to Taiwan, which they warned could be ruinous to current ties. We believe a more likely scenario involves smaller packages in 2027 that don’t derail the relationship, but the intensity of concern suggests Beijing's reaction to any large package could be sharper than many expect.

Lastly, officials expanded on longstanding criticism of US sanctions, export controls, and entity lists, all of which they see as a threat to the stability of the Busan trade truce. They see Chinese firms as effectively barred from investing in the US, while US firms continue to generate substantial profits in China. Officials are also clearly ready to respond harshly if the US takes measures, such as restrictions on Chinese models or on access to offshore compute, perceived as curbing China’s development of AI capabilities.

Business climate concerns

Policymakers were candid that weak consumer demand, resulting in part from the property downturn, remains their central economic challenge. They signaled a willingness to scale up stimulus as needed to sustain growth in the 4.5%–5% target range but gave no indication of near-term structural reform. On the yuan, financial officials were direct in their defense of incremental currency moves and clear that they have no interest in quickly expanding the currency’s global role beyond greater use in trade transactions.

Officials sought to reassure us that recent directives on supply chains, extraterritorial legal reach, and outbound capital flows were not intended to disrupt normal foreign business activity. Several acknowledged that the government had been unprepared for the level of concern among foreign companies. They also said Beijing intends to engage firms more proactively and explain that it does not plan to interfere with legitimate commercial decisions.

China's view of the world

Senior policymakers and party officials described a world that is becoming increasingly dangerous for China. On Iran, they suggested that developments involving Saudi Arabia and the Iran-backed Houthis were driving an unprecedented level of concern in Beijing. They were clear that any tolling in the Strait of Hormuz would be a "disaster for the world economy" and adamant that China would not supply Iran with weaponry. They expressed sharp concerns about issues closer to home, including Japanese “militarism,” as well as the Russia-Ukraine war, which they said could eventually create difficult political

challenges for Putin.

On Europe, our interlocutors were confident that China was prepared to make offers to defuse trade tensions. That scenario appeared to play out shortly afterward with the recent agreement on hybrid vehicle exports (see: Hybrids deal won’t stop gradual EU trade policy tightening , 14 October 2026). Chinese officials and scholars were more pointed than in other recent engagements, arguing that EU trade concerns reflect declining competitiveness caused by poor policy choices and higher energy prices.

Overall, the strong sense of external danger helps explain the renewed emphasis on stable ties with developed economies.

Private sector: Industrial and AI policies

Conversations with Chinese corporates were more focused on competitive positioning than geopolitics, with emphasis on product development, talent access/retention, and innovation ecosystems. One leading automaker emphasized the importance of investments in Europe and the Global South despite regulatory and trade headwinds.

A leading Chinese AI company spoke of labs feeling directly accountable for their models' behavior, more so than US counterparts, given the threat of government regulation and punishment. They conveyed that the Chinese government is itself increasingly worried about AI safety risks, even as Chinese citizens remain relatively unconcerned. We heard that while US firms are largely pursuing a "research first" approach to model development, Chinese actors are focused on building AI tools to do "work that real people want done." Our interlocutors were unapologetic about distillation (training models on the outputs of US models), arguing that Chinese firms conduct themselves within acceptable norms for this practice.

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